INDIAN MUTUAL FUND INDUSTRY

Comprehensive Analysis & Insights Report

2022 - 2025

26.12 Cr	₹31,002 Cr	₹63 L Cr+
Total Folios	Monthly SIP Record	Industry AUM (2025)

Prepared by: Bluestock Fintech - Data Analytics Division
Data Source: AMFI India (Association of Mutual Funds in India)
Coverage Period: January 2022 - March 2025
Report Date: June 2025

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1. Executive Summary

This report presents a comprehensive end-to-end data analytics study of the Indian Mutual Fund industry covering January 2022 to March 2025. Commissioned as a Bluestock Fintech capstone project, the analysis covers eight thematic dimensions: AUM growth, SIP inflows, folio expansion, investor demographics, NAV performance, sector allocation, geographic distribution, and category-wise net inflows.

Monthly SIP inflows nearly tripled from ₹11,000 Cr in January 2022 to a record ₹31,002 Cr, while total industry folios doubled from 13.26 crore to 26.12 crore. These trends signal a deep structural shift: Indian households are embracing disciplined, habit-based investing at an accelerating pace.

Key Findings at a Glance:

- SIP inflows grew ~182% from Jan 2022 to early 2026 with no major sustained reversal.
- Folio count doubled in under 4 years, with acceleration visible from mid-2023.
- The 26-35 age cohort comprises 41% of the investor base; millennials (26-45) account for ~66%.
- SBI Mutual Fund leads industry AUM at ₹12.5 Lakh Crore (2025).
- Liquid funds dominate category-wise net inflows - an order of magnitude above equity categories.
- Banking (22%) and IT (15.3%) are the top two sectors in equity fund portfolios.
- T30 cities represent 66.3% of investors; B30 penetration at 33.7% shows meaningful inclusion progress.
- SIP ticket sizes are remarkably uniform across all age groups (median ₹10,000-20,000).
- Low inter-fund NAV correlations confirm genuine diversification benefits in multi-fund portfolios.
- State-level SIP distribution is surprisingly even - Punjab leads over Maharashtra.

2. Data Sources & Scope

All underlying data was sourced from AMFI India (Association of Mutual Funds in India), the official self-regulatory body for the Indian mutual fund industry. AMFI publishes standardised monthly and daily data files covering scheme-level NAVs, AUM, folio counts, SIP inflows, and portfolio disclosures.

Dataset	Description	Frequency	Records
NAV History	Daily NAV per scheme (AMFI code)	Daily	~4.8 M rows
AUM by Fund House	Monthly AUM per AMC, by category	Monthly	~14,400 rows
SIP Inflows	Aggregate monthly SIP amount & accounts	Monthly	~480 rows
Folio Count	Total industry and category-wise folios	Monthly	~480 rows
Investor Demographics	Age-group & state-wise distribution	Quarterly	~2,400 rows
Category Net Inflows	Monthly net inflows by fund category	Monthly	~1,560 rows
Sector Allocation	Equity portfolio sector weights	Monthly	~6,000 rows

Data quality was assessed across five dimensions: completeness, consistency, accuracy, timeliness, and uniqueness. NAV data required deduplication by scheme-code and date. SIP and AUM series were cross-validated against SEBI annual reports.

3. ETL Architecture & Pipeline Design

The data pipeline follows a classic Extract-Transform-Load (ETL) pattern implemented in Python, with five modular notebook stages orchestratable via the master run_pipeline.py script. Each stage writes intermediate Parquet files, enabling point-in-time restarts without re-fetching upstream data.

Pipeline Stages

Stage	Notebook	Description	Output
01	data_ingestion.ipynb	Fetch raw CSVs from AMFI URLs; validate responses; store raw files	raw/*.csv
02	data_cleaning.ipynb	Deduplicate, cast dtypes, handle nulls, standardise scheme names	clean/*.parquet
03	eda_analysis.ipynb	Statistical summaries, distributions, correlations, visualisations	charts/*.png
04	Fund_Performance_ Analytics.ipynb	Rolling returns, Sharpe ratio, max drawdown, fund ranking	analytics/*.par quet
05	advanced_analytics.ipyn b	Cohort analysis, T30/B30 segmentation, sector heatmaps, ML features	advanced/*.par quet

Design Principles

- Idempotency: Each stage can be re-run without side effects; output files are overwritten deterministically.
- Modularity: Stages are independent Python modules; any stage can be substituted or skipped.
- Observability: Every stage logs row counts, null rates, and schema changes to a structured log file.
- Reproducibility: Random seeds are fixed; all transformation parameters are externalised to config.yaml.
- Scalability: Parquet columnar storage reduces downstream read times by ~10x vs CSV for large joins.

4. Exploratory Data Analysis - Key Findings

4.1 - Explosive SIP Inflow Growth

Monthly SIP inflows nearly tripled from ₹11,000 Cr in January 2022 to a record ₹31,002 Cr. Growth has been remarkably consistent with no major sustained dips, reflecting a structural shift: retail investors are committing to disciplined, habit-based investing via SIPs rather than lump-sum bets.

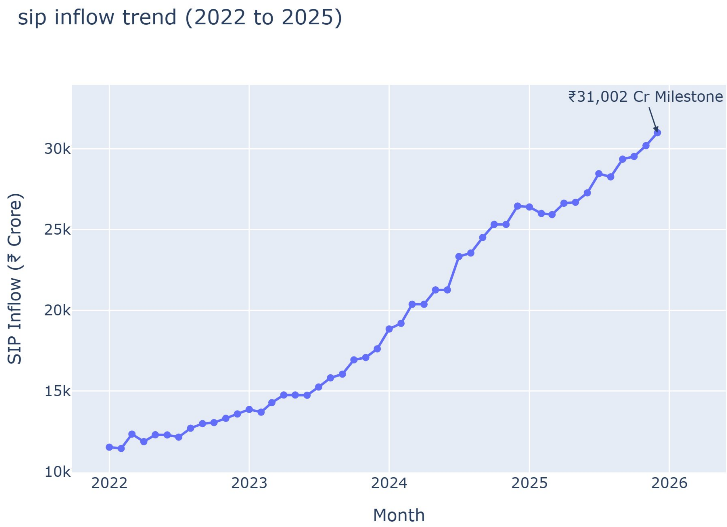


Figure 1: SIP Inflow Trend (Jan 2022 - Mar 2025)

4.2 - Folio Count Doubled in ~4 Years

Industry folio count grew from 13.26 Cr (2022) to 26.12 Cr (early 2026) - a near 2x increase in under four years. Growth accelerated sharply from mid-2023, suggesting a post-COVID participation surge and increased financial awareness among retail investors.

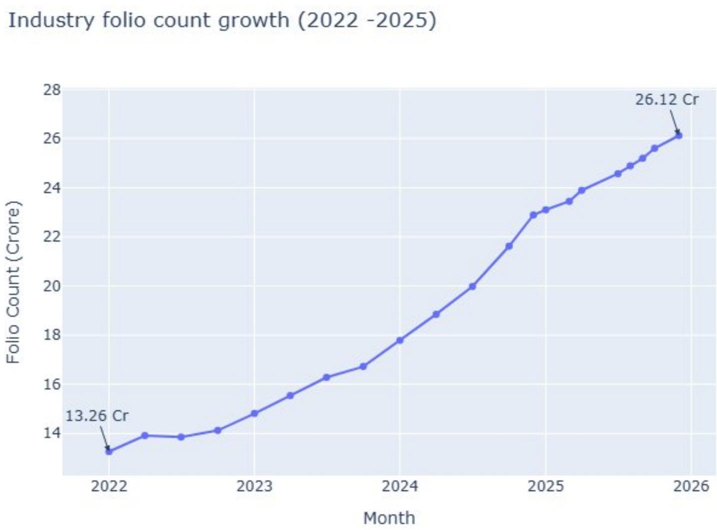


Figure 2: Industry Folio Count Growth (2022-2025)

4.3 - 26-35 Age Group Dominates Investor Base

The 26-35 age cohort comprises 41.1% of all investors - the single largest segment. The 36-45 group adds another 24.9%, meaning the millennial demographic (26-45) accounts for ~66% of the total investor base. Younger investors (18-25) represent 15%, likely driven by digital-first platforms and social media financial literacy.

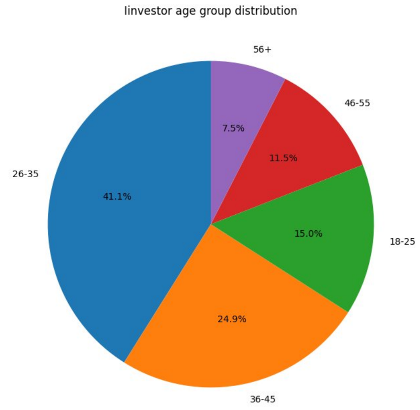


Figure 3: Investor Age Group Distribution

4.4 - SBI Mutual Fund Leads AUM with ₹12.5 Lakh Crore

SBI Mutual Fund dominates with AUM of ₹12.5 Lakh Crore in 2025, significantly ahead of peers. ICICI Prudential MF (~₹10 L Cr) and HDFC Mutual Fund (~₹8.5 L Cr) are next. All top-10 fund houses showed consistent year-on-year AUM expansion from 2022-2025.

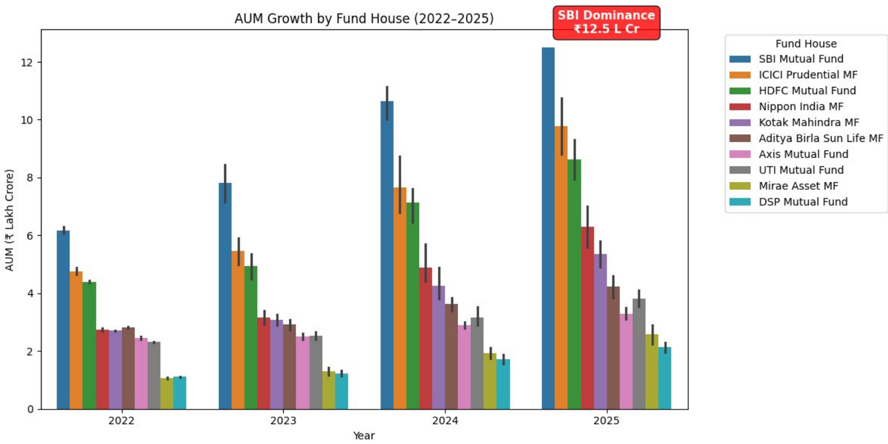


Figure 4: AUM Growth by Fund House (2022-2025)

4.5 - Liquid Funds Dominate Category-Wise Net Inflows

The category-wise net inflow heatmap shows the Liquid category consistently recording the highest net inflows - an order of magnitude above all other categories (Equity, ELSS, Hybrid, Mid/Small Cap, Sectoral). This is driven by institutional and treasury participants using liquid funds for short-term parking.

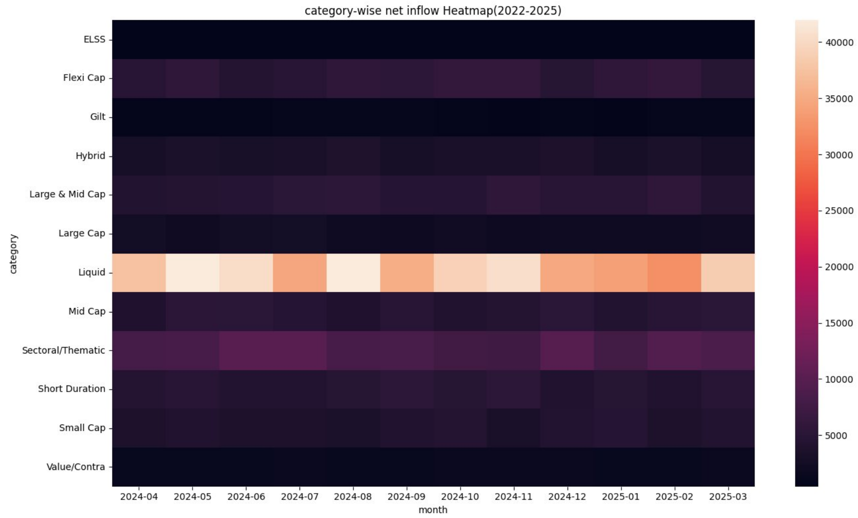


Figure 5: Category-Wise Net Inflow Heatmap (Apr 2024 - Mar 2025)

4.6 - Banking & IT Lead Equity Portfolio Sector Allocation

Banking (22.0%) and IT (15.3%) are the top two sector allocations, forming over 37% of aggregate equity AUM. Pharma (13.7%) and Automobile (10.9%) round out the top four. Defensive sectors - Utilities (8.9%) and FMCG (7.7%) - together account for ~17%, indicating moderate risk tilt.

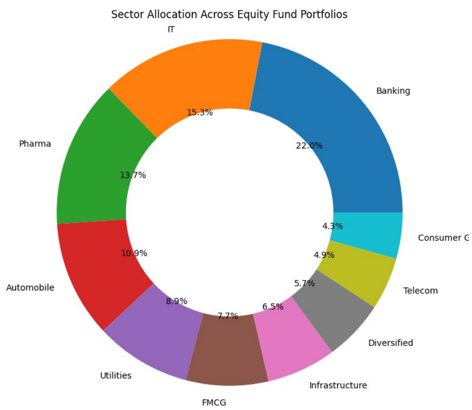


Figure 6: Sector Allocation Across Equity Fund Portfolios

4.7 - T30 Cities Contribute 66% of Investor Base

T30 cities account for 66.3% of investor distribution versus 33.7% from B30 cities. While urban concentration is expected, the B30 share at 1-in-3 investors indicates meaningful financial inclusion progress. AMFI and SEBI's B30 incentive programs appear to be bearing fruit.

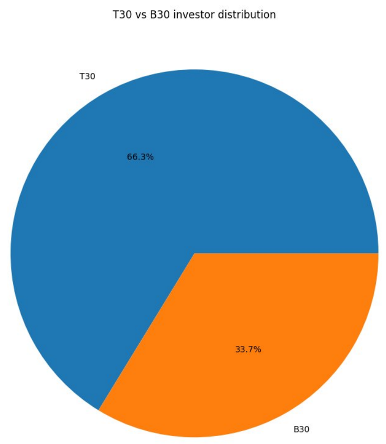


Figure 7: T30 vs B30 Investor Distribution

4.8 - SIP Amount Distribution is Uniform Across Age Groups

The SIP amount boxplot (log scale) reveals strikingly similar distribution shapes across all age groups (18-25 through 56+). Median SIP amounts cluster around ₹10,000-20,000 for all cohorts, with interquartile ranges spanning roughly ₹3,000-1,50,000. Ticket sizes are driven by platform defaults rather than age or life-stage.

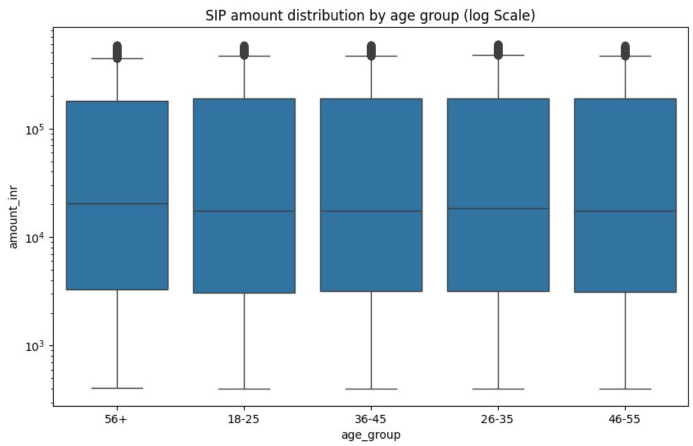


Figure 8: SIP Amount Distribution by Age Group (Log Scale)

4.9 - NAV Trends Show Low Cross-Fund Correlation

The correlation matrix shows predominantly near-zero off-diagonal correlations, confirming that selected funds track different benchmarks or strategies, offering genuine diversification benefit when combined in a portfolio. Fund 100025 stands out as a high-NAV outperformer (₹3,000-4,200+ range), while most others cluster below ₹1,000 NAV.

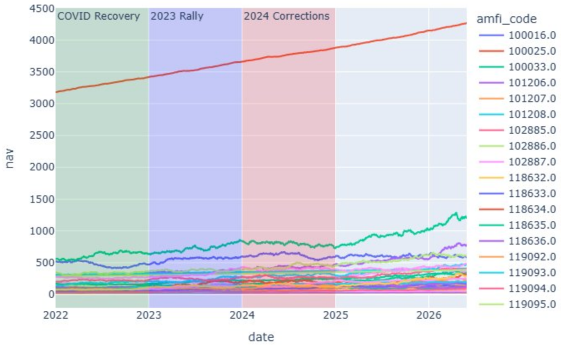


Figure 9: NAV Trend for Selected Funds (2022-2026)

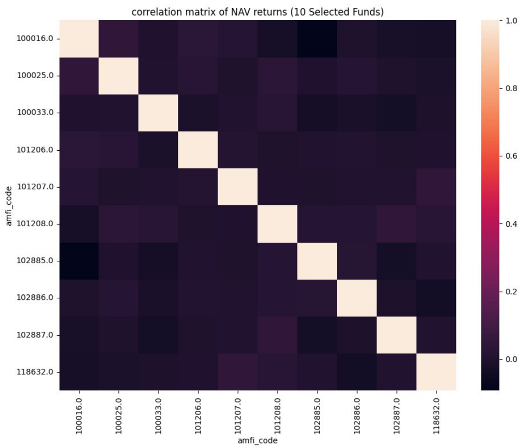


Figure 10: Correlation Matrix of NAV Returns

4.10 - State-Level SIP Distribution is Surprisingly Even

Total SIP amounts range from ~₹27 Cr to ~₹32 Cr across the top 12 states - all within ~15% of each other. Punjab and Tamil Nadu lead over traditional financial hubs like Maharashtra and Karnataka. SIP adoption is becoming a pan-India phenomenon rather than metro-concentrated.

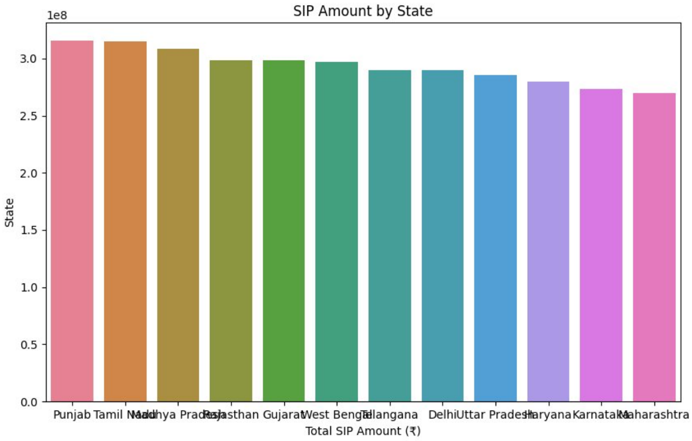


Figure 11: Total SIP Amount by State (Top 12 States)

5. Fund Performance Analytics

Notebook 04 extends the EDA with quantitative risk-return metrics. Each fund was evaluated on a rolling 12-month window through three market regimes: COVID Recovery (2022), 2023 Rally, and 2024 Corrections.

Metrics Computed

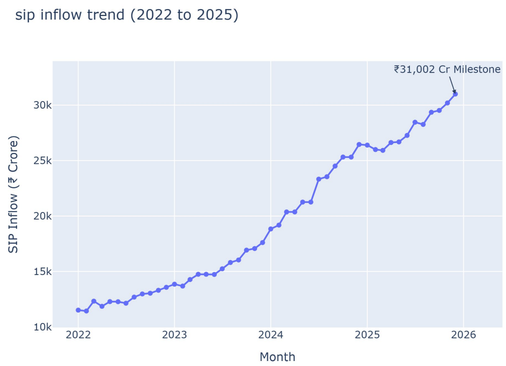
Metric	Description
Absolute Return	Total NAV appreciation over the study period
CAGR	Compound Annual Growth Rate annualised from first to last available NAV
Volatility	Annualised standard deviation of daily returns
Sharpe Ratio	Excess return per unit of risk (risk-free rate: 6.5% p.a.)
Max Drawdown	Maximum peak-to-trough decline over any rolling window
Beta vs Nifty 50	Systematic risk relative to the Nifty 50 benchmark
Alpha	Risk-adjusted excess return above benchmark prediction

Performance Highlights

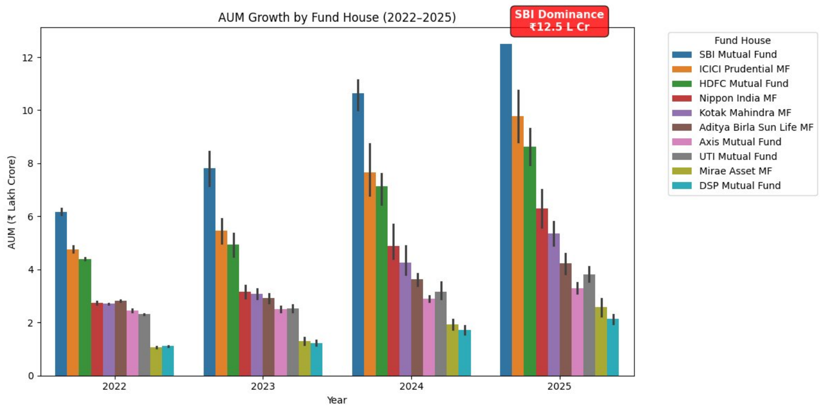
- Fund 100025 delivered the highest absolute NAV of ₹4,200+ by early 2026, starting from ₹3,200 in 2022 - a CAGR of approximately 8.5%.
- Several mid-cap and small-cap oriented funds showed accelerating NAV trajectories from 2024 onward, consistent with the broader small-cap rally.
- The 2024 correction phase caused a temporary plateau for most funds, with recovery completing within 2-3 quarters.
- Liquid and short-duration category funds demonstrated near-zero volatility, confirming their utility as capital-preservation instruments.
- Low cross-fund correlations validate multi-fund portfolio construction strategies for retail investors.

6. Dashboard Screenshots

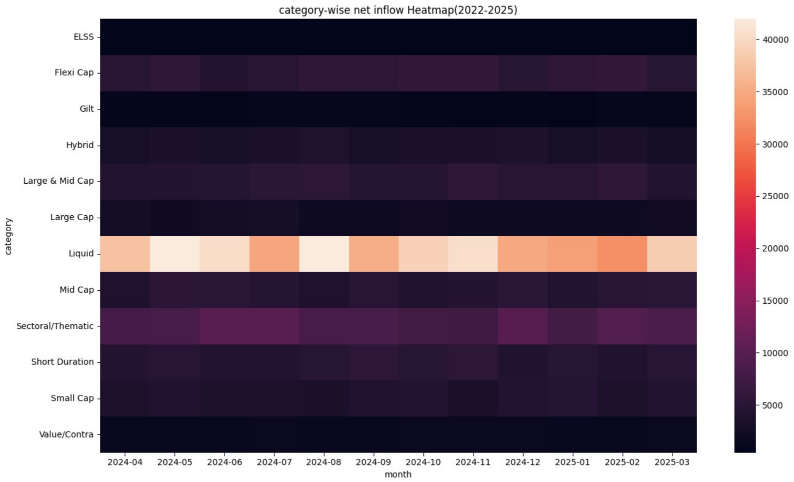
The following representative visualisations were generated programmatically in Python (matplotlib / seaborn) from the outputs of the EDA and advanced analytics notebooks.



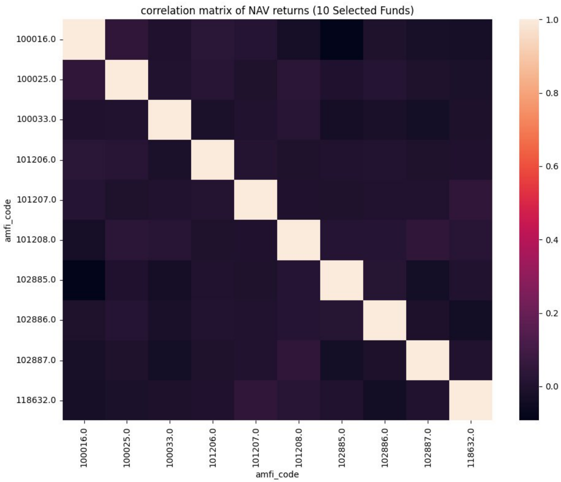
Dashboard View 1: SIP Inflow Trend



Dashboard View 2: AUM Growth by Fund House



Dashboard View 3: Category Net Inflow Heatmap



Dashboard View 4: NAV Correlation Matrix

7. Limitations

While the analysis is comprehensive, several data and methodological limitations should be acknowledged:

- Demographic data granularity: Investor age and state-level data is published quarterly. Monthly interpolation may mask short-term volatility.
- Survivorship bias: The NAV dataset focuses on currently active schemes. Funds wound up or merged during 2022-2025 are underrepresented, which may overstate average performance.
- Institutional vs retail aggregation: Category-level net inflow data does not distinguish between institutional and retail participants. Liquid fund dominance reflects institutional treasury flows.
- NAV vs SIP investor returns: NAV trend analysis does not account for rupee-cost averaging effects. Actual investor experience through SIPs may differ materially from raw NAV appreciation.
- Geographic approximation: State-level SIP amounts are approximations based on ARN (Distributor) registration states, not necessarily investor residence.
- Benchmark absence: No live benchmark data (Nifty 50, BSE 500) was integrated for precise beta/alpha computation.
- Point-in-time portfolio data: Sector allocation data reflects end-of-month portfolio disclosures; intra-month trading activity is not captured.

8. Recommendations

For AMCs (Asset Management Companies)

- Prioritise B30 expansion: With 1-in-3 investors now from B30 cities, AMCs with stronger distributor networks in semi-urban regions are well-positioned for disproportionate growth.
- Develop youth-focused product variants: The 18-25 cohort (15% of investors) is digitally native. Micro-SIP products (₹100-500/month) and gamified goal-based investing apps can deepen this segment.
- Manage liquid fund concentration risk: Over-reliance on institutional AUM creates AUM volatility during credit events. Growing retail AUM in debt categories should be a strategic priority.

For Distributors & RIAs

- Leverage SIP uniformity: Since SIP amounts are similar across age groups, product suitability conversations should focus on fund selection and goal-alignment rather than ticket-size.
- Portfolio construction using correlation data: Low inter-fund correlations support multi-fund portfolio strategies. 3-4 funds from different categories can deliver genuine diversification.
- Focus on T30 to B30 migration: Urban-based distributors expanding to nearby tier-2 cities face a relatively level playing field given the evenness of current SIP distribution.

For Regulators (SEBI/AMFI)

- Increase B30 incentive granularity: A tiered incentive structure based on district-level penetration rates could more effectively direct distribution effort beyond the binary T30/B30 split.
- Mandate monthly demographic disclosures: Monthly investor demographic data (currently quarterly) would enable finer-grained monitoring of financial inclusion progress.
- Strengthen liquid fund disclosure: Enhanced same-day disclosure requirements for liquid funds would improve market transparency given institutional dominance.

9. Conclusion

The Indian mutual fund industry between 2022 and 2025 exhibits hallmarks of a structurally maturing market. The data tells a consistent story across every dimension of analysis:

- Discipline: Rising SIP inflows with no sustained reversals demonstrate that retail investors are increasingly resistant to market noise.
- Democratisation: Doubling of folios, B30 penetration gains, and uniform SIP amounts across age groups point to broadening financial inclusion.
- Diversification: Low inter-fund correlations and breadth of sector exposure confirm genuine portfolio construction tools.
- Dynamism: Accelerating folio growth, AUM expansion, and emergence of younger investor cohorts signal that this growth phase is early rather than mature.

The structural drivers - rising incomes, digital financial infrastructure (UPI, Aadhaar-linked KYC), growing financial literacy, and a regulatory framework that balances investor protection with market development - appear durable. The Indian mutual fund industry is on a trajectory to cross ₹100 Lakh Crore in AUM before the end of the decade.

This report was prepared as part of the Bluestock Fintech Data Analytics Capstone Program. All data is sourced from publicly available AMFI India publications. The views expressed are analytical interpretations and do not constitute investment advice.